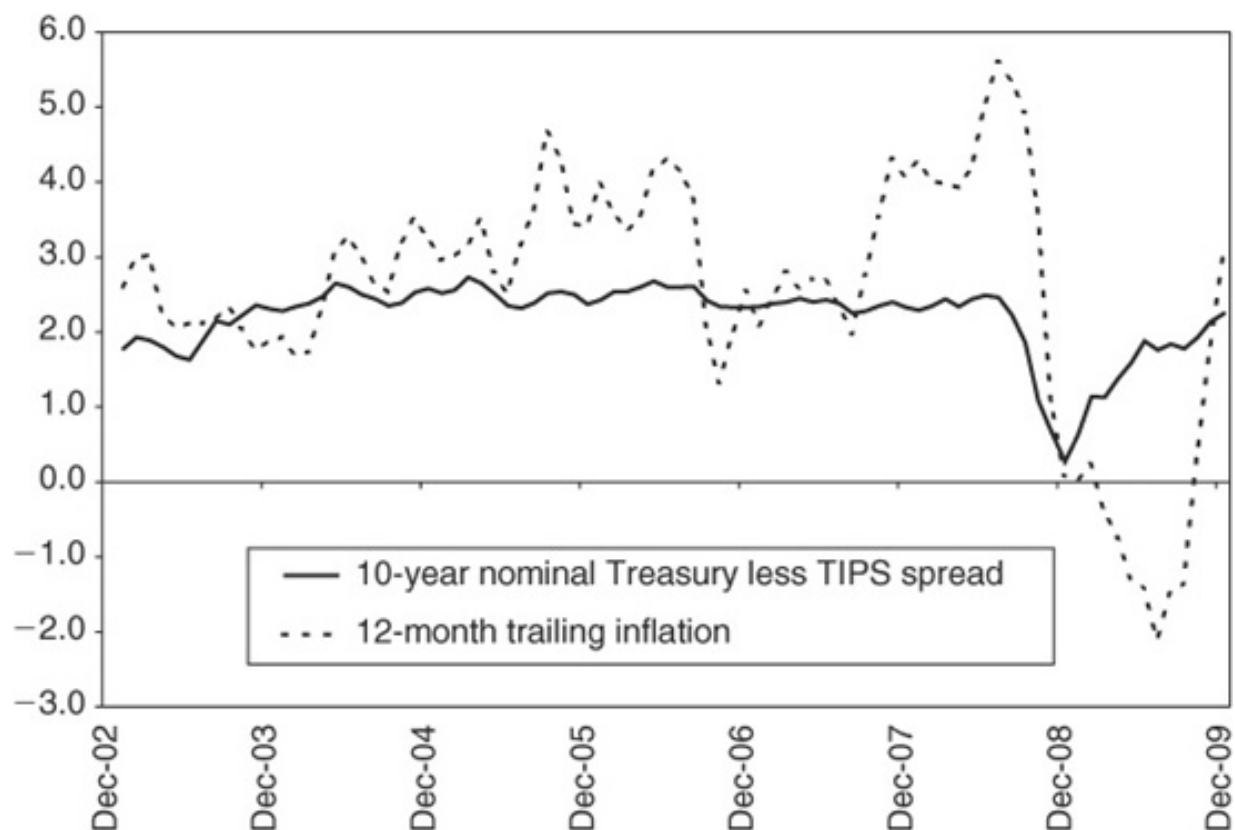




Since TIPS attempt to factor out long-term inflation risk, the “real” expected return on Treasury bonds is the market yield on TIPS. Real return is the amount that investors earn after inflation. One would expect the real return on 10-year TIPS to be constant over time because there is no credit risk in the bond. However, that is not what happens. When trailing inflation is high, the real return on TIPS tends to move higher, and when inflation is low, the real return on TIPS tends to drop.

The yield on TIPS is not entirely an inflation phenomenon. Taxes are another reason for the changing TIPS spread. Our federal government taxes the inflation it creates through fiscal and monetary policy, which is a tax on a tax. Since TIPS prices adjust upward with the inflation rate, income taxes must be paid on both the real income portion of the TIPS and the inflation-adjusted price portion. When inflation is high, investors need to make extra money on the income portion to pay the extra tax due on the inflation portion. Taxing inflation occurs with all investments, but it is more noticeable with TIPS because the inflation portion is physically separated from the real income portion.